

Where Being Early Costs and Being Unusual Pays

A summary by industry and by persistence

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Every US trademark filing is scored on two positions of its goods-and-services language within its industry (Nice class) (Silver, 2026). *Atypicality* is how unusual the language is against both the filings that came before and those that came after. *Lead* is whether later filings moved toward it: a leading filing described a kind of offering that became more common after it was filed. The outcomes are the five-year proof that a registered mark's goods are still sold, the ten-year renewal among marks that passed the proof, and the capital-markets record of the owner.

The headline: unusual language pays after registration; early language costs

The two positions pull in opposite directions at every stage. Among first-time filers, one standard deviation of atypicality lowers the chance of registration by 1.0 point and raises the chance of passing the five-year proof by 1.3 and of renewal by 1.4. One standard deviation of lead raises the chance of registration by 0.5 point and lowers the chance of passing the proof by 1.0 and of renewal by 0.4. Unusual language is harder to register and more durable once registered; early language is easier to register and less durable.

Stage (first-time filers; points per SD)	Atypicality	Lead
Registered (of all filed)	−0.98	+0.47
Passed the five-year proof (of registered)	+1.31	−0.97
Renewed at year ten (of those that passed)	+1.38	−0.43
Filed any private-offering notice (of registered)	−0.17	−0.32
Listed after the round (of funded)	+0.87	−0.53

Across all registrations, the most unusual filing in a class and year survives the proof 4.6 points more often than the most typical, and the most leading 1.6 points less often than the most lagging. Among marks that passed the proof, the same comparisons at renewal are +3.7 and −0.7. Both effects persist past the first test; the benefit of atypicality persists more fully than the cost of lead.

By industry: where the cost of leading falls

Where leading costs at the proof, it also costs at renewal. Across Nice classes the lead effect at the proof and the lead effect at renewal correlate at 0.67; for atypicality the correlation is 0.74. Industries differ in a stable way, not by chance at one test (Figure 1).

In twelve classes the penalty persists through both tests. The largest are tobacco and vaping (class 34: −11.3 points at the proof, −7.9 at renewal), technology and science services (42: −9.6,

−7.9), medical devices (10: −7.2, −4.8), meat and dairy (29: −6.5, −4.9), lighting and heating (11: −5.9, −6.1), hand tools (8: −5.4, −4.1) and fabrics (24: −4.0, −6.0).

In five classes the penalty is confined to the proof. Electronics and software (9: −3.4 at the proof, +1.0 at renewal), advertising and business services (35: −3.0, +0.7), hotels and restaurants (43: −3.6, +0.6), chemicals (1: −2.2, −0.3) and clothing (25: −2.0, +0.9): leading filings that clear the first test are no more likely than lagging ones to be abandoned afterwards. In these classes the cost of leading is paid at the first test.

In four classes the penalty appears only at renewal. Education and entertainment (41: 0.0 at the proof, −3.6 at renewal), housewares (21: 0.0, −4.0), jewelry (14: −1.9, −4.6) and fuels (4: −1.8, −5.8).

In five classes leading is rewarded at both tests. Construction and repair (37: +4.0, +4.5), transport and storage (39: +4.5, +3.2), toys and sporting goods (28: +3.7, +2.4), firearms (13: +2.6, +3.9) and treatment of materials (40: +1.7, +4.7).

In three the reward is confined to the proof. Beer and soft drinks (32: +9.6 at the proof, −0.1 at renewal), paints (2: +4.7, +0.8) and legal and personal services (45: +2.4, −1.6). Beer’s reward belongs to the 2010s: the class’s leading language was beer, beer registrations went from a third of the class to two-thirds, and leading beer filings passed the proof 10 points more often than lagging ones; at renewal, leading neither helped nor hurt.

Tobacco’s penalty is a product change, not a property of the industry. The class-34 penalty is confined to registrations of 2013–18 (−23.4 points; +4.1 and +0.5 in the two earlier periods), when e-cigarette and vaping language went from none of the class’s registrations to 46%. Vaping registrations pass the proof 15.8 points less often than the class’s others, and within each product — vaping, cigars, cigarettes, hookah — leading is not penalized. The class-level penalty is between products: in class 34, leading language meant vaping, and vaping marks were abandoned.

Grouped, the three kinds of class are stable over time. In the group where leading costs most, the penalty at the proof is −5.4, −7.5 and −6.7 points in registrations of 2002–07, 2008–12 and 2013–18, and −4.7 at renewal. In the middle group it moves from +1.0 to −1.6. In the group where leading costs least, the reward is concentrated in 2013–18 (+9.7) and does not carry to renewal; its survival curve is an inverted U, highest near the 65th percentile of lead and lower at both ends.

By industry: where unusual language pays

Atypicality pays most in large, technical and service classes and costs in several manufacturing and trade classes. The most unusual filings survive the proof much more often than the most typical in electronics and software (9: +16 points; +14 at renewal), advertising and business services (35: +13; +9), fuels (4: +12), telecommunications (38: +10; +12), pharmaceuticals (5: +11; +8) and cosmetics (3: +8; +11). They survive less often in machinery (7: −11; −9), legal and personal services (45: −7; −5), chemicals (1: −5; −4) and paints (2: −5; −4), and at renewal in hotels and restaurants (43: −6) and beer (32: −6).

Where leading pays, unusual language costs. In the group where leading costs least, the most unusual filings pass the proof 2.9 points less often than the most typical; in the group where leading costs most, atypicality has no effect (+0.7); in the large middle group it is worth 5.8 points. The industries that reward the early mover reward the conventional description of what it sells.

The hypotheses: who, what, when

Resources: counsel removes most of the cost of leading at the proof and part of it at renewal (Lieberman & Montgomery, 1998). Counsel is worth 19.4 points of survival at the proof and 14.6 at renewal. It changes the lead effect by +5.0 points at the proof and +2.2 at renewal. Among self-filed registrations leading costs about 5.5 points at the proof and 2.6 at renewal; among counsel-represented ones, about 0.5 and 0.4.

Network effects: platforms pay for leading at both tests (Lieberman & Montgomery, 1988). Platform and network offerings survive the proof 8.2 points less often, and leading costs them 7.9 points more than it costs other filings at the proof and 8.5 points more at renewal. This is the most persistent penalty the record shows, and the reverse of the network-effects prediction.

General-purpose technologies: the extra cost of leading is paid at the proof. Filings using internet, mobile, cloud, social-media, AI or blockchain vocabulary pay 2.9 points more for leading at the proof and 0.6 (not distinguishable from zero) at renewal.

Pace of change: leading costs most where markets grow fast (Suárez & Lanzolla, 2007). With the time trend held, leading costs 4.7 points where the class's theme mix and filing volume both change fast, 2.7 where only volume grows, 1.0 in calm class-years and 0.8 where only the mix turns over, the reverse of the ordering the pace-of-change account predicts.

Time: the cost of leading has grown. The penalty at the proof is -0.1 points for registrations of 2002–07 and -2.2 and -2.0 for 2008–12 and 2013–18, about 0.8 points more every five years; the benefit of atypicality has fallen from 5.9 to 3.9. Booms (1998–2000, 2005–07) and busts (2001–02, 2008–09) do not differ from other years once the trend is held.

Order of entry: pioneers and early followers fail alike (Golder & Tellis, 1993). Filings using a new product vocabulary in its first two years in a class fail the proof 12.8 points more often than their class and year; filings two to five years in, 11.8 points more often. Pioneers fail, and early followers fail at the same rate.

Complementary assets: in consumer packaged goods the cost falls on incumbents (Teece, 1986). Leading costs established owners (25 or more earlier filings) 4.9 points and first-time filers nothing.

Uncontested market space: the exemplars did not lead (Kim & Mauborgne, 2004). The registrations of [yellow tail]'s owner, Cirque du Soleil, Southwest Airlines, NetJets, Accor, Starbucks and Home Depot sit in the middle of their classes' lead distributions; only Curves's lean leading. Themes imported from another class survive more often (2.0 points) and pay the same for leading.

Geography: clustering lowers survival but does not change the cost of leading. A co-location measure that allows several hubs identifies Santa Clara for semiconductors and New York, San Francisco and Los Angeles for social networking. A theme's co-location lowers survival by 1.6 points per SD; filers inside a hub pay the same for leading as filers outside.

What the record says about being early

The cost of being early is not general. It is large and lasting in a dozen classes, from tobacco and technology services to medical devices and meat and dairy, and in platforms; it is paid once, at the first test, in electronics and software, advertising, hotels and restaurants and clothing, and in general-purpose-technology vocabulary; it is nearly absent where counsel is retained; and it turns into a reward in construction, transport, toys and firearms, and, for a decade, in beer. Unusual language is rewarded in most classes and at both tests, except in the classes that reward the early mover, where the conventional description survives.

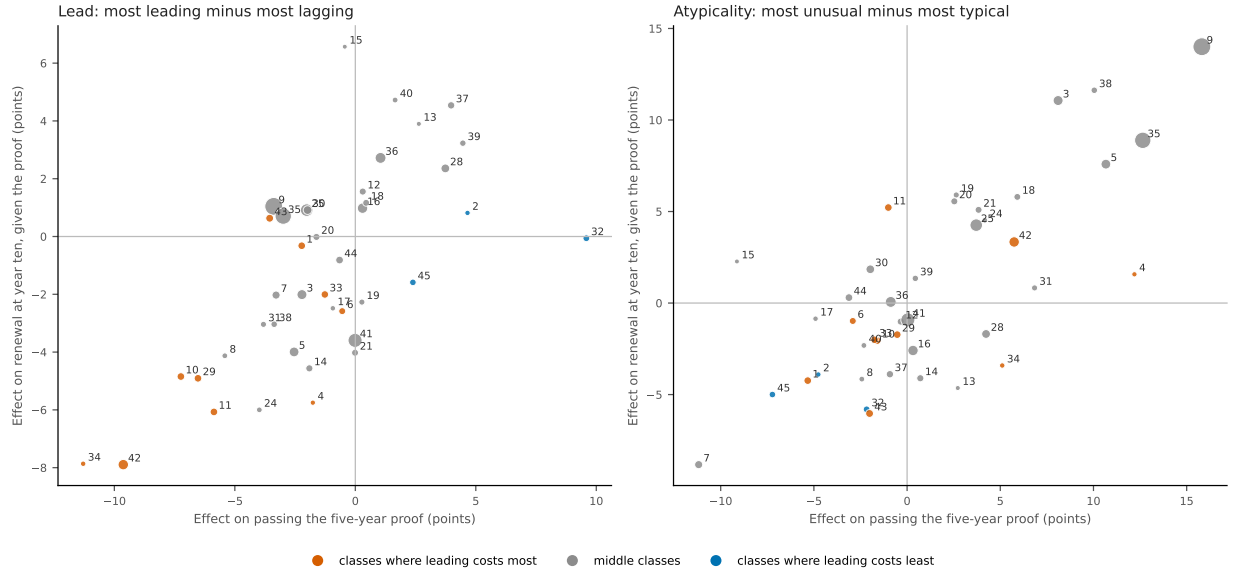


Figure 1: Lead and atypicality effects by Nice class at the five-year proof (x) and at renewal among marks that passed the proof (y). Points are classes, sized by registrations and coloured by the class groups formed from lead effects on half of owners. Effects are the survival difference, in percentage points, between the top and bottom of the class-and-year distribution, with class $\times$ registration-year fixed effects and the paper’s controls.

Appendix: every class

Lead and atypicality effects by class (percentage points, top minus bottom of the class-and-year distribution; standard errors in parentheses for lead). A class is placed in a lead pattern when its effect at a test is at least 2 points (1.5 for persistent benefits); registrations 2002–18 for the proof and 2002–13, among those that passed, for renewal.

Class		Registrations	Lead		Atypicality	
			Proof	Renewal	Proof	Renewal
<i>Lead: penalty persists</i>						
34	Tobacco, vaping	13,993	−11.3 (2.8)	−7.9 (4.5)	+5.1	−3.4
42	Technology, science services	127,407	−9.6 (0.6)	−7.9 (1.1)	+5.7	+3.3
10	Medical devices	55,537	−7.2 (1.0)	−4.8 (1.5)	−1.6	−2.1
29	Meat, dairy, processed	55,503	−6.5 (1.2)	−4.9 (1.8)	−0.5	−1.7
11	Lighting, heating	55,383	−5.9 (1.1)	−6.1 (1.7)	−1.0	+5.2
8	Hand tools	19,542	−5.4 (1.6)	−4.1 (2.6)	−2.4	−4.2
24	Fabrics	18,531	−4.0 (1.8)	−6.0 (2.9)	+4.2	+4.5
31	Agricultural produce	25,317	−3.8 (1.8)	−3.0 (2.7)	+6.8	+0.8
38	Telecommunications	32,421	−3.4 (1.3)	−3.0 (2.2)	+10.0	+11.6
7	Machinery	66,181	−3.3 (1.0)	−2.0 (1.3)	−11.2	−8.8
5	Pharmaceuticals	108,181	−2.5 (1.4)	−4.0 (1.2)	+10.7	+7.6
3	Cosmetics, cleaning	113,917	−2.2 (0.9)	−2.0 (1.4)	+8.1	+11.1
<i>Lead: penalty appears late</i>						
14	Jewelry	45,289	−1.9 (1.0)	−4.6 (2.0)	+0.7	−4.1

Class	Registrations	Lead		Atypicality	
		Proof	Renewal	Proof	Renewal
4 Lubricants, fuels	11,780	−1.8 (2.6)	−5.8 (3.8)	+12.2	+1.6
21 Housewares	40,927	0.0 (1.2)	−4.0 (1.9)	+3.8	+5.1
41 Education, entertainment	254,579	0.0 (0.5)	−3.6 (0.8)	0.0	−0.9
<i>Lead: penalty fades</i>					
43 Hotels, restaurants	60,493	−3.6 (0.9)	+0.6 (1.6)	−2.0	−6.0
9 Electronics, software	426,177	−3.4 (0.5)	+1.0 (0.7)	+15.8	+14.0
35 Advertising, business	353,547	−3.0 (0.4)	+0.7 (0.7)	+12.6	+8.9
1 Chemicals	55,166	−2.2 (1.0)	−0.3 (1.4)	−5.3	−4.2
25 Clothing	197,259	−2.0 (0.5)	+0.9 (0.9)	+3.7	+4.3
<i>Lead: benefit persists</i>					
40 Treatment of materials	19,797	+1.7 (1.5)	+4.7 (2.5)	−2.3	−2.3
13 Firearms	8,387	+2.6 (2.6)	+3.9 (4.2)	+2.7	−4.6
28 Toys, sporting goods	82,356	+3.7 (1.9)	+2.4 (1.9)	+4.2	−1.7
37 Construction, repair	49,178	+4.0 (1.0)	+4.5 (1.6)	−0.9	−3.9
39 Transport, storage	30,844	+4.5 (1.3)	+3.2 (2.1)	+0.4	+1.3
<i>Lead: benefit fades</i>					
45 Legal, personal services	34,032	+2.4 (1.1)	−1.6 (2.4)	−7.2	−5.0
2 Paints	13,215	+4.7 (2.0)	+0.8 (3.2)	−4.8	−3.9
32 Beer, soft drinks	37,724	+9.6 (1.3)	−0.1 (2.7)	−2.2	−5.8
<i>Lead: small</i>					
30 Coffee, bakery, staples	79,726	−2.0 (0.9)	+0.9 (1.5)	−2.0	+1.8
20 Furniture	43,033	−1.6 (1.1)	0.0 (1.9)	+2.5	+5.6
33 Wine, spirits	52,838	−1.3 (1.2)	−2.0 (2.0)	−1.7	−2.0
17 Rubber, plastics	14,684	−0.9 (1.7)	−2.5 (2.5)	−4.9	−0.9
44 Medical, beauty services	56,969	−0.7 (0.9)	−0.8 (1.7)	−3.1	+0.3
6 Metal goods	41,413	−0.5 (1.0)	−2.6 (1.5)	−2.9	−1.0
15 Musical instruments	6,486	−0.4 (2.6)	+6.6 (3.9)	−9.1	+2.3
19 Building materials	25,319	+0.3 (1.5)	−2.3 (2.1)	+2.6	+5.9
16 Paper, printed matter	126,216	+0.3 (0.7)	+1.0 (1.0)	+0.3	−2.6
12 Vehicles	43,416	+0.3 (1.2)	+1.6 (1.7)	−0.3	−1.0
18 Leather goods	39,283	+0.4 (1.1)	+1.2 (2.1)	+5.9	+5.8
36 Insurance, finance	141,201	+1.0 (0.7)	+2.7 (1.1)	−0.9	+0.1

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